

overall portfolio of assets, based on the returns that you enter for each of your assets. This portfolio RoI is one of the key inputs that feeds into your financial freedom plan.

Please keep a note of the following points while listing down your assets:

- Count only those assets which you can liquidate in your lifetime to fund your expenses or to earn better returns on your investments. Therefore, the house where you live, the car that you drive are not considered under your Assets list (though they do have resale value).
- Gold becomes a very debatable point as an asset. You should count only that portion of Gold under your assets list, which you are ready to liquidate in this lifetime. If you want to leave Gold for your next generation, then it is not counted as your asset. Rather, it will be the asset for your next generation.
- Expected assured returns from your life insurance policies can be counted under your assets after suitable adjustment for Time Value of Money. Take care that you only count the 'assured' returns on 'maturity' of policy as your asset amount rather than expected bonuses or the risk cover. Policy premiums will be counted as Liabilities.
- Possible future inheritable real estate / other assets can be counted as your Assets. However, ensure that you count only 'your' share of such assets.

List your Liabilities

What is a Liability?

Anything that you owe is a liability. It could be the EMIs of the house, premiums of insurance policies, credit card bills and any other cash outflow that you are aware of.

Figure 7.5 below shows a list of possible liabilities that are based on my own liabilities that I was carrying while on my journey towards financial